1. PURPOSE

To define a systematic and controlled procedure for identification, technical evaluation, financial review, management approval, and final disposition of raw materials remaining blocked or non-moving for more than 365 days due to:

- Product line change
- Process flow change
- Engineering modification
- Quality rejection
- Trial / development samples
- Shelf-life expiry
- Excess or obsolete inventory

This procedure ensures:

- Prevention of unintended usage
- Financial control of non-moving inventory
- Compliance with quality, environmental, and statutory requirements
- Optimization of warehouse space

2. SCOPE

This SOP applies to all raw materials, packaging materials, bought-out components, and trial materials stored in: Applicable to all business units at Premier Energies & their Ware House

4. DEFINITIONS

Blocked Material: Material restricted from use in ERP and physically segregated.
Non-Moving Inventory: Material with no consumption for 365 consecutive days.
Obsolete Material: Material not usable due to permanent product or process change.
Expired Material: Material exceeding manufacturer-defined shelf life.
RTV: Return to Vendor.
Disposition: Final decision on material (Reuse / Rework / Downgrade / RTV / Scrap).

5. RESPONSIBILITIES

5.1 Stores Department

- Generate monthly ageing report.
- Physically segregate and label blocked material.
- Maintain Blocked Material Register.
- Ensure no accidental issue.

5.2 Quality Assurance (QA)

- Conduct technical evaluation.
- Perform re-testing (if applicable).
- Provide documented recommendation.
- Approve or reject revalidation.

5.3 Production / Engineering

- Evaluate alternate usability.

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- Assess rework feasibility.
- Confirm impact of product/process change.

5.4 SCM / Purchase

- Coordinate RTV with vendor.
- Negotiate replacement/credit note.
- Validate commercial feasibility.

5.5 Finance

- Assess inventory value and write-off impact.
- Approve financial provisioning.
- Monitor inventory loss trend.

5.6 Plant Head / Management

- Final approval for scrap / write-off.
- Review quarterly non-moving inventory status.

5.7 EHS Department

- Ensure environmentally compliant disposal.
- Approve disposal method.

6. PROCEDURE

6.1 Identification of >365 Days Blocked Material

1. Stores shall extract monthly ERP Ageing Report through SAP
2. Filter materials with:
    - No movement >365 days
    - Quality hold >365 days
    - Rejection status >365 days
3. Physically verify stock quantity.

6.2 Classification

Materials shall be categorized into:

1. Product Line Discontinued
2. Process Flow Changed
3. Engineering Design Change
4. Quality Rejected
5. Trial / R&D Sample
6. Shelf Life Expired
7. Excess Procurement / MOQ Issue

6.3 Technical Evaluation Process

Step 1: QA Review

QA Should assess:

- Physical condition
- Packaging integrity
- Shelf life validity

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- COA compliance
- Retesting requirement

QA may recommend:

- Revalidation testing
- Conditional use
- Downgrading
- Rework
- RTV
- Scrap

All findings shall be documented and communicated with Store , procurement and Management

Step 2: Production / Engineering Assessment

- Confirm if material can be used in alternate product.
- Evaluate process compatibility.
- Conduct trial if required.
- Document technical feasibility report.

Step 3: SCM Commercial Review

- Check return clause in PO.
- Contact vendor for RTV possibility.
- Negotiate replacement/credit note.
- Document vendor communication through Email .

Step 4: Finance Impact Analysis

- Calculate inventory value.
- Assess write-off provision.
- Evaluate scrap recovery value.
- Submit financial summary to Plant Head.

7. DISPOSITION DECISION MATRIX

Condition	Decision	Approval Level
Within shelf life & usable	Release with QA approval	QA Head
Usable after re-test	Conditional Release	QA + Production
Vendor return possible	RTV	SCM Head
Downgrade possible	Controlled Issue	QA + Production
Not usable	Scrap	Plant Head
Hazardous	Disposal via authorized agency	Plant Head + EHS

All disposal Action done with prior permission for management

8. DISPOSAL PROCEDURE

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If scrap is approved:

1. QA Communicated for the material through scrap note and data updated in SAP

2. EHS confirms disposal method.
3. Stores arrange disposal via:
   - Authorized scrap vendor
   - Hazardous waste agency (if applicable)
4. Record:
   - Weight slip
   - Scrap sale invoice
   - Gate pass
5. ERP adjustment entry.
6. Maintain Scrap Disposal Record through form 3

9. MANAGEMENT APPROVAL WORKFLOW

ERP Ageing Report → Stores Verification → QA Evaluation → Production Assessment → SCM Review → Finance Review → Plant Head Approval → Disposal Execution → ERP Closure

10. CONTROL MEASURES

- Physical segregation in dedicated "Blocked Area"
- Red tagging system
- SAP status "BLOCKED"
- Monthly review meeting
- Half yearly Review of sach material

11. ACTION PLAN FOR REDUCTION OF >365 DAYS INVENTORY

Immediate Actions

- 100% review of all existing >365 days stock within 30 days.
- Disposal of non-recoverable materials within 60 days.

Preventive Actions

1. Quarterly slow-moving review meeting.
2. Procurement based on consumption trend.
3. MOQ negotiation with vendors.
4. Shelf-life tracking through MIS
5. Implementation of FIFO / FEFO.

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